

accounted for.

The common methods of valuing stocks are:

1. *FIFO or First in First Out*: It is assumed under this method that stocks that come in first would be sold first and those that come in last would be sold last.
2. *LIFO or Last in Last Out*: The premise on which this method is based is the opposite of FIFO. It is assumed that the stocks that arrive last will be sold first. The reasoning is that customers prefer newer materials or products.

It is important to ascertain the method of valuation and the accounting principles involved as stock values can easily be manipulated by changing the method of valuation.

#### **Trade Debtors**

Most companies do not sell their products for cash but on credit and purchasers are expected to pay for the goods they have bought within an agreed period of time, 30 days or 60 days. The period of credit would vary from customer to customer and from company to company and depends on the credit worthiness of the customer, market conditions and competition.

Often customers may not pay within the agreed credit period. This may be due to laxity in credit administration or the inability of the customers to pay. Consequently, debts are classified as:

- those over six months; and
- others.

These are further subdivided into:

- debts considered good; and
- debts considered bad and doubtful.

If debts are likely to be bad, they must be provided for or written off. If this is not done assets will be overstated to the extent of the bad debt. A write off is made only when there is no hope of recovery. Otherwise, a